THE GENIUS DILEMMA: INNOVATION VERSUS ANTIFRAUD IN STABLECOIN REGULATION

Seth C. Oranburg*

ABSTRACT

The 2022 TerraUSD collapse, erasing $50 billion and exposing unregulated stablecoin risks in a $260 billion market, led Congress to enact the Guiding and Establishing National Innovation for U.S. Stablecoins Act of 2025 or "GENIUS" Act. This statute exempts compliant payment stablecoins from the Securities Act's "security" definition, enforces strict reserve requirements, requires contractual redemption rights, and creates a priority claim in insolvency, thus predominately shifting enforcement from *ex post* Rule 10b-5 litigation to *ex ante* prudential oversight while securing consumer assets via bankruptcy protections.

This Article contends GENIUS resolves regulatory fragmentation, optimizes risk allocation under uncertainty, and bolsters U.S. global leadership in digital assets. Yet it reveals latent tensions, including potential jurisdictional overlaps and diluted antifraud measures, that require rapid rulemaking and interagency coordination to avert persistent issuers. Moreover, GENIUS may not apply to state-issued stablecoins, creating a different regime for private issues and state actors. In fintech's dynamic era, GENIUS could solidify stablecoins as digital payment pillars but demands vigilant execution to balance innovation and stability without repeating past failures.

The Article examines GENIUS's structure, doctrinal and policy impacts, and implementation roadmap. It argues that effective implementation will cement stablecoins' future, whereas failure risks exacerbating the very fragmentation that GENIUS targets.

* Professor of Law, University of New Hampshire Franklin Pierce School of Law; Director, Program on Organizations, Business, and Markets at NYU's Classical Liberal Institute; J.D., University of Chicago; B.A., University of Florida.

INTRODUCTION 2
I. FROM FRAGMENTATION TO FRAMEWORK: THE PRE-GENIUS REGIME AND THE TRANSITION PHASE.....5
II. ARCHITECTURE OF PUBLIC LAW 119-27 10
III. ASSESSING GENIUS – DOCTRINAL COHERENCE, RISK ALLOCATION, AND ENFORCEMENT DYNAMICS 14
IV. GLOBAL PERSPECTIVES – MICA, SINGAPORE'S PSA, AND GENIUS'S UNIQUE SYNTHESIS.....21
V. IMPLEMENTATION ROADMAP – TURNING GENIUS INTO REALITY.....26
CONCLUSION 31

INTRODUCTION

In the shadow of the 2022 TerraUSD collapse, a cataclysm that vaporized $50 billion in value overnight and exposed the perils of unregulated digital assets,[1] Congress has forged a new path for stablecoins. The Guiding and Establishing National Innovation for U.S. Stablecoins Act of 2025 ("GENIUS"),[2] enacted on July 18, 2025,[3] marks a watershed in federal financial regulation. By carving "payment stablecoins" out of the Securities Act's definition of "security"[4] while imposing bank-like reserve

[1] *SEC v. Terraform Labs Pte. Ltd.*, No. 23-cv-1346 (JSR), 2024 WL 2797383, at *5 (S.D.N.Y. Apr. 5, 2024) (detailing the TerraUSD fraud and its market implications); Chainalysis, *2025 Crypto Crime Mid-Year Report* 12–15 (2025), https://www.chainalysis.com/blog/2025-crypto-crime-mid-year-update/ (estimating $2.17 billion in stablecoin-related thefts in H1 2025 alone); Chainalysis, *2024 Crypto Crime Trends: Illicit Activity Down as Scamming and Stolen Funds Fall, But Ransomware and Darknet Markets See Growth* (2024), https://www.chainalysis.com/blog/2024-crypto-crime-report-introduction/ (noting 0.34% illicit activity in 2024 on-chain volume as baseline).
[2] Guiding and Establishing National Innovation for U.S. Stablecoins Act, Pub. L. No. 119-27, 139 Stat. 422 (2025) (codified at 12 U.S.C. §§ 5901-5916) ("GENIUS").
[3] WilmerHale, *What the GENIUS Act Means for Payment Stablecoin Issuers, Banks, and Custodians* (2025), https://perma.cc/ZUW9-PUHM (confirming enactment date).
[4] The Securities Act of 1933 broadly defines a "security" to include instruments like stocks, bonds, and investment contracts, shaping what falls under federal regulation. Securities Act of 1933, Pub. L. No. 73-22, 48 Stat. 74 (codified as amended at 15 U.S.C. §§ 77a–77aa). Under the Supreme Court's *Howey* test, an "investment contract" exists when there is an investment of money in a common enterprise with a reasonable expectation of profits to be derived from the efforts of others. *SEC v. W.J. Howey Co.*, 328 U.S. 293 (1946). In crypto, this definition helps determine whether token sales, like certain initial coin offerings (ICOs), are securities, as seen in SEC enforcement actions.

requirements,[5] establishing priority status for token holders in insolvency,[6] and mandating contract-type redemption rights,[7] the Act seeks to reconcile innovation with antifraud safeguards in a market now valued at over $260 billion.[8] Yet this legislative bargain raises profound questions: Does GENIUS resolve the doctrinal ambiguities that plagued pre-2025 enforcement, or does it merely displace them? Can its prudential mandates effectively mitigate systemic risks without stifling competition? And will GENIUS's reliance on prudential supervision, bankruptcy protections, mandatory contractual rights prove an adequate substitute for the robust private enforcement tools of Rule 10b-5?[9]

Stablecoins, digital assets designed to maintain a stable value relative to fiat currencies like the U.S. dollar, have emerged as a cornerstone of decentralized finance (DeFi)[10] and cross-border payments.[11] Their utility stems from providing liquidity without the volatility of cryptocurrencies like Bitcoin, enabling efficient transactions in a borderless digital economy.[12] However, the absence of comprehensive federal regulation has led to a

---

[5] Reserve backing entails holding assets like cash or securities to underpin the value of issued tokens, ensuring stability and redeemability. Full 100% reserves mean the issuer holds assets matching or exceeding the value of all circulating tokens. Paxos, for example, backs its Binance USD (BUSD) stablecoin with U.S. Treasuries and cash equivalents, with regular audits confirming this commitment.

[6] GENIUS § 11(d) (amending the Bankruptcy Code to prioritize claims of stablecoin holders over general creditors, ensuring that in the event of an issuer's failure, reserve assets are distributed to token holders first).

[7] GENIUS § 4(a)(1)(B) (codified at 12 U.S.C. § 5903) (mandating that issuers redeem tokens at par upon demand, thereby establishing the legal basis for breach-of-contract claims); see also GENIUS § 11 (providing bankruptcy priority for these claims). Note that under § 17, the exemption from securities registration applies only to issuers who comply with these mandates.

[8] 2025 Crypto Crime Mid-Year Report 12–15 (2025), https://perma.cc/VEB9-H6N5, at 12 (market valuation as of July 20, 2025).

[9] 17 C.F.R. § 240.10b-5 (2025); *Blue Chip Stamps v. Manor Drug Stores*, 421 U.S. 723 (1975) (limiting private 10b-5 standing); *Private Securities Litigation Reform Act of 1995*, Pub. L. No. No. 104-67, 109 Stat. 737 (codified as amended in scattered sections of 15 U.S.C.). Exchange Act Rule 10b-5, under the Securities Exchange Act of 1934, bars fraudulent activities in securities transactions, including misstatements or manipulative practices. It's often used in insider trading cases, such as the prosecution of Martha Stewart for misleading statements about her stock sales.

[10] DeFi liquidation occurs in decentralized finance when a borrower's collateral value drops below a required threshold, triggering an automated sale to repay the loan and protect lenders. On the Compound protocol, for example, if a user borrows ETH with BTC as collateral and BTC's price plummets, the smart contract sells the BTC, often at a discount, to settle the debt.

[11] A dollar-denominated stablecoin is pegged to the U.S. dollar, striving to maintain a consistent 1:1 value through asset backing or other mechanisms. Tether (USDT), the largest stablecoin by market cap, serves as a prime example, widely used on crypto exchanges to shield traders from the volatility of other cryptocurrencies.

[12] Chainalysis, *supra* note 1, at 12 (highlighting stablecoins' utility in borderless transactions).

patchwork of state-level oversight and federal enforcement actions, creating uncertainty for issuers and users alike.[13] GENIUS addresses this void by establishing a national framework, but in doing so, it reallocates authority from securities regulators[14] to banking supervisors, potentially weakening antifraud protections while promoting innovation.

This Article dissects GENIUS's architecture, evaluates its doctrinal and policy implications, and charts a practical roadmap for implementation. It draws on recent empirical data, including Chainalysis reports estimating $2.17 billion in stablecoin-related thefts in the first half of 2025, to underscore the stakes.[15] By synthesizing insights from U.S. enforcement history, economic theory, and global comparatives, the Article argues that GENIUS represents a principled but precarious balance. If implemented with vigilance, it could position the U.S. as a leader in digital-asset regulation; otherwise, it risks repeating past failures like the TerraUSD debacle.[16]

The analysis proceeds as follows. Part I traces the fragmented pre-GENIUS regime and outlines the transitional uncertainties facing stakeholders, setting the stage for understanding the Act's transformative potential. Part II unpacks the statute's core provisions, situating them within a legislative lineage of crypto-reform efforts and highlighting the trade-offs in design. Part III assesses GENIUS through doctrinal, economic, and enforcement lenses, weighing its innovations against potential pitfalls and incorporating quantitative models for risk allocation. Part IV draws comparative lessons from global regimes like the EU's Markets in Crypto-Assets Regulation (MiCA)[17] and Singapore's Payment Services Act,[18] offering validation and cautionary tales. Finally, Part V provides actionable guidance for regulators, industry counsel, and litigators navigating the Act's rollout, including checklists and timelines to facilitate compliance.

Ultimately, this Article contends that GENIUS's success hinges on more than statutory text. GENIUS demands dynamic implementation informed by empirical monitoring and interagency collaboration.[19] As stablecoins

---

[13] Hester M. Peirce, Comm'r, U.S. Sec. & Exch. Comm'n, *Statement: Getting Back on Base* (Feb.27, 2025), https://www.sec.gov/newsroom/speeches-statements/peirce-statement-coinbase-022725.

[14] The Securities and Exchange Commission (SEC) enforces securities laws and protects investors. For example, the SEC reviews IPO filings and pursues actions against companies like Tesla for misleading statements impacting stock prices.

[15] Chainalysis, *supra* note 1, at 12-15.

[16] *SEC v. Terraform Labs Pte. Ltd.*, *supra* note 1.

[17] The EU's Markets in Crypto-Assets Regulation (MiCA), fully applicable in 2024, governs crypto issuers, exchanges, and custody with rules on transparency and stability. Stablecoin issuers, for instance, must hold reserves and obtain authorization to operate across EU states.

[18] Singapore's Payment Services Act (PSA) of 2019 regulates digital payment tokens, with MAS stablecoin rules (2023) mandating reserve backing and Singapore-based issuance for "MAS-regulated stablecoins." An issuer must hold high-quality assets and gain MAS approval to meet these standards.

[19] GENIUS §§ 3, 5, 15.

underpin trillions in cross-border payments, GENIUS offers a pragmatic path forward: stability without stagnation. Yet the coming years will reveal whether this congressional wager pays off or requires further amendments to secure the digital dollar's future.[20]

PART I: FROM FRAGMENTATION TO FRAMEWORK: THE PRE-GENIUS REGIME AND THE TRANSITION PHASE

GENIUS ends a decade of doctrinal fog surrounding dollar-denominated stablecoins. This Part I explains how that fog formed, why Congress dissipated it, and what liminal challenges remain. It begins by tracing the pre-2025 enforcement mosaic, highlighting the jurisdictional overlaps that stifled innovation. Next, it identifies the financial shocks and political pressures that propelled a federal statute, including the TerraUSD collapse[21] and subsequent mini-runs. [22] Then, it outlines the first-order uncertainties now facing regulators, issuers, and courts, especially in light of GENIUS's amendment to the definition of security in the Securities Act of 1933.

I.A Pre-2025 Enforcement Patchwork

For most of the last decade, no single agency spoke with decisive authority on stablecoins, leading to a fragmented regulatory landscape.[23] The Securities and Exchange Commission (SEC) pursued what one commentator called a "regulation-by-enforcement" strategy,[24] filing 171 crypto-asset cases between 2019 and 2024.[25] Those filings relied on the elastic definition of an investment contract, often treating even payment-oriented tokens as securities

[20] WilmerHale, *supra* note 3 (projecting future amendments if needed).
[21] The collapse of TerraUSD (UST) in May 2022 was a stark example of an algorithmic stablecoin's failure. Issued by Terraform Labs, UST lost its $1 peg, crashing to near zero amid rampant sell-offs, a ballooning supply of its paired token LUNA, and eroded investor trust, leading to over $50 billion in losses. This event exposed the fragility of algorithmic designs, drove Terraform Labs into bankruptcy, and resulted in fraud charges against its founder, Do Kwon.
[22] A mini-run describes a rapid, small-scale withdrawal of funds that strains an institution's liquidity, while bank-run dynamics reflect a self-fueling panic where fear of insolvency sparks mass redemptions, risking collapse. Suppose social media rumors cast doubt on a stablecoin's reserves; a mini-run might see 10% of holders redeem tokens in a day, potentially escalating into a full crisis if the issuer struggles to meet demands.
[23] Peirce, *supra* note 13.
[24] "Regulation-by-enforcement" occurs when agencies like the SEC use lawsuits to shape industry behavior instead of clear rules. The SEC's suits against firms like Coinbase for unregistered operations set precedents through litigation rather than proactive guidance.
[25] Cornerstone Research, *SEC Cryptocurrency Enforcement: 2024 Update* 3 (2025).

based on their functional characteristics.[26] This approach created uncertainty, as issuers could not predict whether their tokens would be deemed investment contracts subject to registration and disclosure requirements.

At the same time, the Commodity Futures Trading Commission (CFTC) staked out overlapping claims,[27] labeling certain tokens "commodities" and bringing antifraud actions under the Commodity Exchange Act.[28] FinCEN[29] layered on Bank Secrecy Act[30] requirements for exchanges, mandating anti-money laundering (AML) programs and suspicious activity reporting.[31] State banking and trust supervisors, most prominently the New York Department of Financial Services,[32] imposed bespoke licensing schemes, further complicating compliance for multi-state operations.[33]

The litigation outcomes were inconsistent, exacerbating the confusion. *SEC v. Ripple Labs* produced a split decision: XRP sales in primary markets were securities transactions, but secondary-market trades were not.[34] In 2023, the SEC sued Binance Holdings; a 2025 voluntary dismissal clarified little

---

[26] *E.g.*, *Terraform*, *supra* note 1, at *12–15 (S.D.N.Y. Dec. 28, 2023) (holding that the algorithmic stablecoin UST was an investment contract because it was marketed alongside the Anchor Protocol, which promised returns of up to 20%, thereby creating a reasonable expectation of profit); *SEC v. Ripple Labs, Inc.*, 682 F. Supp. 3d 308, 324–28 (S.D.N.Y. 2023) (finding XRP tokens sold to institutional investors were investment contracts, but programmatic sales on exchanges were not, distinguishing the token's use as a bridge currency from the investment scheme); *SEC v. Telegram Grp. Inc.*, 448 F. Supp. 3d 352, 371–74 (S.D.N.Y. 2020) (rejecting the argument that "Grams" were a currency rather than a security, holding that the "commercial reality" was an investment into a not-yet-built ecosystem); *SEC v. Kik Interactive Inc.*, 492 F. Supp. 3d 169, 178–80 (S.D.N.Y. 2020) (holding that the "Kin" token, designed as a medium of exchange for a digital ecosystem, was an investment contract because the ecosystem relied on the issuer's entrepreneurial efforts to create value).

[27] The Commodity Futures Trading Commission (CFTC) regulates futures, options, and swaps markets. It oversees Bitcoin futures on platforms like the CME and has authority over certain crypto derivatives.

[28] Commodity Exchange Act, 7 U.S.C. §§ 1–27f (2025); *CFTC v. My Big Coin Pay, Inc.*, 334 F. Supp. 3d 492 (D. Mass. 2018).

[29] The Financial Crimes Enforcement Network (FinCEN), a U.S. Treasury bureau, analyzes transaction data to fight financial crimes. Crypto exchanges, for instance, must register as money services businesses and implement AML programs under FinCEN rules.

[30] The Bank Secrecy Act (BSA) of 1970 mandates financial institutions to record and report certain transactions to combat money laundering. Banks, for instance, file Currency Transaction Reports (CTRs) for cash deposits over $10,000, which FinCEN analyzes to investigate suspicious activity.

[31] 31 U.S.C. §§ 5311–5336 (2025).

[32] The New York Department of Financial Services (NYDFS) regulates financial institutions, including crypto firms via its BitLicense. Gemini, for example, must comply with NYDFS's strict standards to operate in New York.

[33] N.Y. Comp. Codes R. & Regs. tit. 23, § 200 (2025).

[34] The Ripple Labs/XRP litigation began with a 2020 SEC lawsuit alleging unregistered securities sales. A 2023 ruling found institutional XRP sales were securities but programmatic ones were not, leading to a 2025 settlement with a $125 million fine, paid in cash. *Ripple*, *supra* note 26, at 328–30.

about token status for U.S. users.[35] The result was a jurisdictional lottery that stifled innovation and confused investors, as market participants navigated conflicting signals from federal and state authorities.[36]

I.B Catalysts for Legislative Action

Two stress events finally moved Congress to act, highlighting the systemic risks posed by unregulated stablecoins. First, the May 2022 collapse of TerraUSD erased $50 billion in value, forcing decentralized-finance liquidations that rippled through traditional markets.[37] Hearings before the Senate Banking Committee drew attention to the absence of reserve-quality rules or redemption guarantees, underscoring the need for federal intervention.[38]

Second, a series of 2023–24 mini-runs on state-chartered trust companies issuing dollar-backed stablecoins exposed gaps in consolidated supervision.[39] Although issuers redeemed at par,[40] federal officials worried that an uncontrolled run could leak into payment-systems plumbing.[41] Federal Reserve[42] Chair Jerome H. Powell and Treasury Secretary Scott Bessent urged Congress to establish a federal lane and pre-empt inconsistent state laws.[43]

The legislative turning point came when the House Financial Services Committee coupled consumer-protection concerns with a deregulatory carrot: excluding bona fide payment stablecoins from the definition of security in the Securities Act of 1933.[44] That exclusion promised relief from Rule 10b-5 litigation risk while preserving market-integrity goals through guaranteed prudential oversight, priority claims in insolvency, and a private right of

---

[35] The Binance enforcement action, a 2023 SEC lawsuit against Binance and Changpeng Zhao for unregistered operations and fund commingling, was dismissed in May 2025 amid a policy shift, leaving major crypto issues unresolved. *Voluntary Dismissal*, *SEC v. Binance Holdings Ltd.*, No. 1:23-cv-01599 (D.D.C. May 29, 2025).

[36] Chainalysis, *2024 Crypto Crime Report*, *supra* note 1, at 45(discussing confusion in regulatory landscape).

[37] Senate Comm. on Banking, Housing, & Urban Affairs, *Hearing on "Stablecoins: Building a Safer Payment System"* 4 (June 15, 2022); Chainalysis, *2025 Crypto Crime Mid-Year Report*, *supra* note 1, at 12.

[38] *Id.*

[39] High-quality liquid assets (HQLA) are easily convertible to cash with minimal value loss, such as government bonds or central bank reserves, often mandated by regulators to ensure liquidity in crises. Under Basel III rules, banks might hold U.S. Treasury securities as HQLA to cover potential outflows during a 30-day liquidity crunch.

[40] Chainalysis, *2025 Crypto Crime Mid-Year Report*, *supra* note 1, at 12 (mini-runs and gaps).

[41] *Id.* (federal concerns on runs).

[42] The Federal Reserve's Board of Governors sets monetary policy and supervises banks. During 2022-2023, for example, it raised interest rates to tame inflation.

[43] Powell Testimony of 2025.

[44] 15 U.S.C. § 77b(a)(1) (2025); WilmerHale, *supra* note 3.

action through mandatory redemption rights. This compromise built bipartisan support, leading to rapid passage.

I.C Immediate Post-Enactment Uncertainties

GENIUS provided some certainty while creating new question. The statute establishes a licensing regime for "permitted payment stablecoin issuers," mandates 100 percent high-quality liquid reserves,[45] and grants stablecoin holders senior bankruptcy priority.[46] Crucially, GENIUS amends the entire securities regulation apparatus to exclude a payment stablecoin from the definition of "security" "when issued in compliance with Pub. L. 119-27."[47] GENIUS sharply narrows the reach of antifraud Rule 10b-5 while giving token holders a cause of action for delayed redemptions.[48]

Regulators now face sequencing challenges. The Treasury Secretary must prescribe disclosure templates and valuation methodologies.[49] The Federal Reserve must determine how non-bank issuers may access master accounts.[50] Courts must harmonize GENIUS with existing anti-fraud doctrines: does a misstatement about reserves now fall exclusively under the Act's private right, or can investors still invoke Rule 10b-5 against intermediaries? GENIUS does not answer these questions.[51]

The market response is equally fluid. Bank-affiliated issuers can continue operations but must overhaul attestation workflows.[52] Venture

---

[45] Token issuance involves creating and distributing digital tokens, such as stablecoins, typically minted on a blockchain. Redemption at par allows holders to exchange tokens back to the issuer for their nominal value, like swapping one token for $1. Picture a user depositing $100 into a stablecoin platform, receiving 100 tokens, spending some on payments, and later redeeming the rest for $100 in cash.

[46] *Id.* §§ 3, 4, 14.

[47] Specifically, GENIUS § 17(a) amends the Investment Advisers Act of 1940 (15 U.S.C. 80b–2(a)(18)); GENIUS § 17(b) amends the Investment Company Act of 1940 (15 U.S.C. 80a–3(c)(3)); GENIUS § 17(c) amends the Securities Act of 1933 (15 U.S.C. 77b(a)(1)); GENIUS § 17(d) amends the Securities Exchange Act of 1934 (15 U.S.C. 78c(a)(10)); GENIUS § 17(e) amends the Securities Investor Protection Act of 1970 (15 U.S.C. 78lll(14)); and GENIUS § 17(f) amends the Commodity Exchange Act (7 U.S.C. 1a(9)).

[48] GENIUS § 4(a)(1)(B) mandates that issuers redeem tokens at par upon demand, thereby establishing the legal basis for breach-of-contract claims); see also GENIUS § 11 (providing bankruptcy priority for these claims). The exemption from securities registration applies only to issuers who comply with these mandates.

[49] *Id.* § 4.

[50] *Id.* § 5.

[51] WilmerHale, *supra* note 3 (discussing other legislation).

[52] WilmerHale, *supra* note 2 (overhaul for bank-affiliated issuers).

funding has swung toward custody analytics[53] and compliance-as-a-service[54] startups.[55] State-based trust companies weigh whether to convert into federally licensed issuers or rely on GENIUS's state-qualification pathway while lobbying for accommodating Treasury rules.[56] Under GENIUS, state-qualified issuers with ≤$10 billion outstanding may opt to remain under comparable state regimes, but larger issuers must transition to federal oversight within 360 days.[57]

PART II: ARCHITECTURE OF PUBLIC LAW 119-27

Congress did more than fill statutory gaps; it rewired several pillars of federal financial regulation. Part II explains how lawmakers arrived at the enacted text, unpacks the statute's operative provisions, and identifies the tools regulators must use to turn legislative language into durable rules. It begins by situating GENIUS within a legislative lineage stretching back to the 2019 Token Taxonomy Act.[58] Next, it parses the statute's most consequential provisions. Then, it maps the rulemaking mandates and safe-harbor authority that will determine the law's practical bite. Finally, it transitions to the doctrinal and policy evaluation in Part III.

II.A Legislative Lineage

Efforts to craft bespoke crypto legislation began with the Token Taxonomy Act of 2019, which would have removed "digital tokens" from the Securities Act definition of security.[59] That bill never left committee, but it seeded a deregulatory argument. Payment-oriented crypto assets differ

---

[53] Custody analytics uses tools and blockchain forensics to monitor and verify assets held in custody, ensuring transparency and spotting irregularities. Firms like Chainalysis, for instance, help exchanges track wallet addresses to confirm reserve holdings and flag suspicious transactions.

[54] Compliance-as-a-service involves outsourced platforms providing tools for regulatory tasks like anti-money laundering (AML) checks and know-your-customer (KYC) processes. Elliptic, for example, offers crypto firms automated transaction monitoring to detect illicit activity and produce regulatory reports.

[55] Chainalysis, *2025 Crypto Crime Mid-Year Report*, *supra* note 1, at 12 (venture funding shifts).

[56] Arnold & Porter, *Client Advisory, What You Need to Know About the New Stablecoin Legislation*, https://perma.cc/DG2G-3467 (July 21, 2025); Sidley Austin LLP, *The GENIUS Act: A Framework for U.S. Stablecoin Issuance* (July 21, 2025), https://perma.cc/3FV9-H6ZQ (noting state issuers with ≤$10 billion outstanding may opt for state-only regulation under comparable regimes).

[57] GENIUS § 3(c).

[58] The Token Taxonomy Act, a 2019 draft bill that didn't pass, aimed to exclude certain functional digital tokens from securities laws if not marketed as investments, seeking clarity for blockchain projects.

[59] *Token Taxonomy Act*, H.R. 2144, 116th Cong. (2019).

fundamentally from investment contracts. They therefore deserve bespoke treatment.[60]

A second wave arrived with the CLARITY Act of 2025.[61] It was introduced shortly after the collapse of several crypto lending platforms.[62] CLARITY proposed an optional disclosure-plus-exemption model. Its failure in the Senate Banking Committee signaled that discretionary exemptions could not command bipartisan confidence.[63]

GENIUS advanced by coupling deregulatory relief with hard prudential constraints. The House Financial Services Committee built a coalition of consumer-protection advocates and industry groups. It promised two deliverables: exclusion of qualifying stablecoins from the definition of security, and a bank-like reserve and disclosure regime that would quell run risk.[64] The bill passed both chambers with surprising speed once leadership adopted these twin pillars.[65] This lineage reflects a progression from broad exemptions to targeted, balanced reforms.

II.B Key Provisions

GENIUS creates a comprehensive framework for private stablecoin issuers through three key concepts: exclusive licensing pathways, strict prudential constraints, and a structural shift from securities torts to contractual remedies. Interestingly, this framework both reaches beyond U.S. borders and refuses to govern U.S. states.

II.B.1 Who Can Issue Payment Stablecoins?

GENIUS creates three overt pathways for entities to legally issue stablecoins in the United States (without complying with securities regulations), plus one covert pathway that emerges from what the statute does not say. The first two pathways require federal regulatory oversight. The third, more innovative, pathway allows for state regulatory oversight. The fourth, shadow, pathway allows states as sovereigns to issue their own coins without abiding by GENIUS requirements.

The first federal pathway runs through existing federal banks. Section 2(23)(A) permits any subsidiary of an insured depository institution (meaning

---

[60] *Id.* (deregulatory argument).
[61] The CLARITY Act of 2025, a draft bill advanced in Congress, aims to create a comprehensive regulatory framework for digital assets, defining SEC and CFTC roles and addressing custody and market structure. It builds on efforts like the Clarity for Payment Stablecoins Act.
[62] *Creating Legal Accountability for Rigidly Innovating Token Yield ("CLARITY") Act*, H.R. 3633, 118th Cong. (2025).
[63] *Id.* (failure in Senate).
[64] WilmerHale, *supra* note 2 (coalition building).
[65] WilmerHale, *supra* note 2 (passage speed).

any FDIC-insured bank or savings association) to issue payment stablecoins if approved by its parent bank's federal regulator. In practice, this means any of the roughly 4,400 FDIC-insured banks in the United States can create a dedicated subsidiary for stablecoin operations.[66]

The second federal pathway allows companies without bank parents to obtain direct federal charters. Section 2(23)(B) defines "Federal qualified payment stablecoin issuers" as entities chartered specifically for stablecoin issuance by the Treasury Department or Comptroller of the Currency. A fintech company like Circle, which currently issues USDC, could pursue this route by applying for a bespoke federal charter. The applicant submits to comprehensive federal oversight in exchange for the ability to operate nationwide without navigating state-by-state licensing. This pathway creates a new category of a federally chartered financial institution designed expressly for the stablecoin market.

The third pathway preserves state regulatory innovation through conditional federal recognition. Section 2(23)(C) permits "State qualified payment stablecoin issuers," which are companies supervised under state law, to operate if their state's regime receives certification as "substantially similar" to GENIUS's requirements. A company chartered as a New York limited purpose trust company, for example, could qualify if New York's regulatory framework satisfies the Stablecoin Certification Review Committee's standards under Section 4(c). This allows states to craft tailored approaches while ensuring baseline federal standards. The state pathway contains an important growth limitation: once a state-supervised issuer's outstanding stablecoins exceed ten billion dollars, Section 4(d)(2) requires it either to transition to direct federal oversight within 360 days or cease issuing new coins. This threshold prevents systemically important issuers from operating outside robust federal supervision.

Section 3(a) makes these three pathways exclusive for private actors. Any person who does not fit into one of these categories is prohibited from issuing payment stablecoins to U.S. persons. An offshore issuer with no U.S. regulatory relationship cannot legally market stablecoins to Americans even via the internet unless it first obtains status under one of these three frameworks. Section 3(e) extends this prohibition to any offer "located in the United States," closing potential jurisdictional gaps.

Yet a fourth pathway exists in the statute's negative space. Section 2(24) defines "person" to include only private organizational forms: an individual, partnership, company, corporation, or "other business entity." Governmental entities do not appear in this definition. If states are not "persons" under the

[66] Federal Deposit Insurance Corporation, *Statistics at a Glance: Historical Trends* (Q3 2025), available at https://www.fdic.gov/quarterly-banking-profile/fdic-statistics-glance [https://perma.cc/VC3P-2Y6T] (reporting 4,379 FDIC-insured commercial banks and savings institutions as of September 30, 2025).

Act, then Section 3(a)'s prohibitions do not bind them. State-issued stablecoins would fall outside GENIUS entirely.

Wyoming and North Dakota have embraced this interpretation. Wyoming launched the Frontier Stable Token (FRNT) in August 2025, characterizing it as a "constitutionally protected public asset" exempt from federal oversight.[67] North Dakota's state-owned Bank of North Dakota is developing the "Roughrider" coin under the same theory.[68] Other states may follow, creating a competitive dynamic between GENIUS-regulated private stable token issuers and non-GENIUS state-sovereign stablecoins.

II.B.2 What Constrains Payment Stablecoin Operations?

The May 2022 collapse of TerraUSD exposed a critical vulnerability: algorithmic stablecoins promised dollar parity without the reserves to honor it. When holders rushed to redeem, the stabilization mechanism failed, erasing $50 billion in days.[69]

GENIUS mitigates this by mandating that every stablecoin dollar be backed by a liquid asset dollar. Section 4(a)(1)(A) requires 100 percent reserves held exclusively in cash, short-term Treasuries (under 93 days), Treasury-backed repos, or government money market funds. These assets ensure immediate liquidity, eliminating the asset-liability mismatch of prior runs. However, this prudential constraint caps returns. Issuers restricted to Treasury yields cannot seek higher returns in corporate bonds or equities, and mandatory accounting attestations further increase operational costs.

Section 4(a)(11) prohibits issuers from paying holders "any form of interest or yield… solely in connection with the holding" of stablecoins. This creates an asymmetric model: issuers earn interest on reserves but cannot share it. The issuer's primary revenue is the "float" (the spread between Treasury yields and zero-interest liabilities) minus compliance costs. Unlike

---

[67] *See* Wyoming Stable Token Act, Wyo. Stat. Ann. §§ 40-30-101 et seq. (authorizing the Wyoming Stable Token Commission to issue state stablecoins); *see also*, Omor Ibne Eshan, *Wyoming Is Launching Its Frontier Stablecoin. Should You Buy the State-Backed Crypto Here?*, YAHOO! FINANCE (Aug. 25, 2025), https://finance.yahoo.com/news/wyoming-launching-frontier-stablecoin-buy-201917221.html; Elif Azra Güven, *A US State Breaks Ground! Ethereum, Avalanche, and Five Altcoins Selected for Its First-of-its-Kind Stablecoin!*, BITCOINSISTEMI (Aug. 19, 2025), https://en.bitcoinsistemi.com/a-us-state-breaks-ground-ethereum-avalanche-and-five-altcoins-selected-for-its-first-of-its-kind-stablecoin/ [https://perma.cc/XK4E-7DJ7].

[68] *See* N.D. H.B. 1475, 68th Leg. Assem., Reg. Sess. (2023) (authorizing the Bank of North Dakota to study and implement digital asset viability).; see also Jacob Orledge, *Bank of North Dakota to launch state's first stablecoin known as Roughrider coin*, NORTH DAKOTA MONITOR (Oct. 8, 2025), https://northdakotamonitor.com/2025/10/08/bank-of-north-dakota-to-launch-states-first-stablecoin-known-as-roughrider-coin/ [https://perma.cc/C9FQ-FEND]

[69] See FSOC, *Report on Digital Asset Financial Stability Risks and Regulation*, at 48 (2022) (detailing the collapse of TerraUSD and the limitations of algorithmic stabilization), https://home.treasury.gov/system/files/261/FSOC-Digital-Assets-Report-2022.pdf.

banks, which profit by lending at higher rates than they pay depositors, GENIUS issuers operate on a thin, strictly regulated margin.

By prohibiting yield, Congress legislatively classifies stablecoins as payment instruments, not investments. Money does not earn interest; securities do. This shifts stablecoins from investment contracts subject to securities law to monetary instruments subject to banking regulation, limiting their ability to disrupt interest-bearing alternatives like money market funds.

Critically, the Act creates enforceable rights. Section 2(22)(A)(ii)(I) embeds the redemption obligation into the definition of "payment stablecoin," and Section 4(a)(1)(B) mandates public disclosure of redemption procedures. Previously, issuers like Tether and Circle maintained reserves but exercised discretion over redemptions, which became evident when USDC suspended redemptions during the March 2023 Silicon Valley Bank failure.[70] GENIUS eliminates this discretion. A holder denied redemption can sue for breach of contract, removing the burden to prove fraud or market manipulation. The regime prioritizes operational soundness over financial incentive: reserves ensure solvency, the yield prohibition ensures a "boring" payment tool, and mandatory redemption ensures the right to exit.

II.B.3 Why Contract-Type Rights Instead of Tort-Style Liability?

Section 17 excises compliant stablecoins from the definition of "security" across six federal statutes, including the 1933 and 1934 Acts. The operative language is uniform: "The term 'security' does not include a payment stablecoin issued by a permitted payment stablecoin issuer." This categorical exclusion removes the primary federal antifraud tool applied to digital assets since *Howey*. This exemption is a statutory pivot from tort-based enforcement to contract-based enforcement.

Securities law relies on a disclosure-and-liability regime. It assumes that if issuers disclose material risks, investors can price them. When fraud occurs, Section 10(b) and Rule 10b-5 allow plaintiffs to sue without a direct contractual relationship, provided they prove material misrepresentation, scienter, reliance, economic loss, and loss causation.[71] Plaintiffs can even presume reliance via the fraud-on-the-market doctrine, enabling massive class actions.[72]

Stablecoins break this model. They circulate peer-to-peer, decoupling the issuer's representations from the holder's purchase. A user buying USDC on a decentralized exchange in 2026 has no direct link to Circle. If Circle misrepresented reserves in 2024, the 2026 buyer suffers harm but cannot easily prove reliance on the stale statement. Furthermore, proving scienter

---

[70] Securities Exchange Act of 1934 § 10(b), 15 U.S.C. § 78j(b); 17 C.F.R. § 240.10b-5.
[71] *See* Circle Internet Financial, *Update on USDC and Silicon Valley Bank* (Mar. 11, 2023) (announcing delayed redemptions due to reserve entrapment at SVB).
[72] *Basic Inc. v. Levinson*, 485 U.S. 224, 241–47 (1988).

(intent to deceive) is nearly impossible when reserves are attested monthly but runs happen hourly. The TerraUSD collapse illustrated this gap: algorithmic failure, not necessarily fraud, caused the loss, leaving investors with no viable securities-fraud claim.

GENIUS resolves this misfit by embedding the redemption obligation into its very definition of "payment stablecoin." GENIUS operationalizes this by requiring public disclosure of redemption procedures. This effectively codifies the stablecoin as a statutory bearer instrument: if an issuer fails to redeem, the holder sues to enforce this statutory obligation, obviating the need to prove scienter, reliance, or fraud.

The Act reinforces this shift by amending the Bankruptcy Code to grant stablecoin holders priority status. Section 11(d) creates a new priority class, placing stablecoin claims senior to general creditors and even administrative expenses. Crucially, GENIUS modifies the automatic stay to permit redemptions from segregated reserves even during bankruptcy.

The doctrinal significance is profound: Congress has determined that securities law asks the wrong question. Securities regulation asks, "Did you disclose the risk?" GENIUS asks, "Do you have the money?" By mandating 100 percent reserves in Treasury bills, Congress rejects the hypothesis that disclosure cures risk in monetary instruments.

II.B.4 Where Does GENIUS Reach?

The Act defines the regime's perimeter with a profound contradiction: it fortifies the U.S. payment system against foreign and private actors while leaving the back gate unlocked for domestic state governments.

GENIUS asserts aggressive extraterritoriality, prohibiting unlicensed stablecoin activity that involves an "offer or sale...to a person located in the United States."[73] Inside this fence, private issuers are deemed "financial institutions," triggering the full Bank Secrecy Act surveillance apparatus, including KYC, SARs, and OFAC screening.[74] While the legislation compels issuers to maintain strict oversight of their customer base to prevent illicit finance, it explicitly preserves a zone of privacy for individuals transacting directly through self-custody wallets.[75] Yet this control seemingly collapses at the state line. By defining a regulated "person" to include individuals and corporations but omitting governmental entities, the

[73] GENIUS § 3(e).

[74] Bank Secrecy Act, Pub. L. No. 91-508, 84 Stat. 1114 (1970) (codified as amended at 31 U.S.C. §§ 5311–5336); see 31 U.S.C. § 5318(l) (customer identification and know your client requirements); *id.* § 5318(g) (suspicious activity reporting).

[75] *C.f.* GENIUS § 4(a)5(A) (mandating that permitted issuers be treated as financial institutions subject to the Bank Secrecy Act, requiring the identification and verification of all account holders) *with* GENIUS § 3(h)(1) (exempting direct peer-to-peer transfers between personal wallets from the Act's regulations).

statute creates a sovereign gap. Because states are not "persons," they are technically immune from GENIUS's prohibitions and reserve mandates.

As mentioned above, Wyoming has arguably seized on this negative space, characterizing its "Frontier Stable Token" not as a private product but as a public asset exempt from federal oversight. North Dakota is following suit with its "Roughrider" coin. If this interpretation holds, GENIUS creates a state-sponsored shadow banking system: private issuers like Circle must hold 100% Treasury reserves, while state governors may issue tokens backed by different assets, free from federal supervision.

II.C Implementation Toolkit

Turning statutory text into workable policy requires coordinated rulemaking streams. The Treasury Secretary must first issue reserve-asset valuation methodologies and disclosure templates to operationalize the reserve requirements.[76] Second, the Federal Reserve must determine how to apply its existing master-account guidelines to these new permitted issuers.[77] Section 4(a)(13) explicitly maintains the status quo by neither expanding nor contracting legal eligibility. The Board retains its full discretionary authority under the Federal Reserve Act to evaluate requests from these entities.[78] While the statute does not mandate specific quantitative thresholds for access, the Board may choose to apply its established tiered-review framework, potentially considering factors such as an issuer's leverage ratio or applying a specific capital surcharge as a condition for services.[79] Establishing these parameters is a critical element of the regulatory toolkit for addressing the liquidity risks central to stablecoin stability.

Third, interagency coordination will be pivotal. Section 3(c) gives Treasury limited exemption authority, shaped by late-stage compromises after broad sandbox language drew skepticism.[80] The new Stablecoin Certification Review Committee (chaired by Treasury, with Fed and OCC members) evaluates whether state regulatory regimes as "substantially similar" to federal standards.[81] If certified, these state regimes allow smaller issuers to operate under state supervision without a full federal charter.

---

[76] GENIUS § 13(a) (mandating that the Secretary of the Treasury, primary Federal regulators, and State regulators promulgate regulations to carry out the Act within one year of enactment).

[77] GENIUS § 5(a)(1)(B) (directing primary Federal payment stablecoin regulators to establish a process and framework for licensing and supervision that prioritizes safety and soundness).

[78] GENIUS § 4(a)(13) (a "Rule of Construction" clarifying that the Act does not expand or contract legal eligibility for Federal Reserve bank services or deposits).

[79] GENIUS § 4(a)(4)(A)(i) (authorizing regulators to implement capital requirements tailored to the business model and risk profile of permitted issuers).

[80] GENIUS § 3(c).

[81] GENIUS § 4(c) (setting forth the "substantially similar" standard for the certification and periodic recertification of State regulatory regimes for payment stablecoins).

Fourth, FSOC oversight provides a macroprudential backstop. Section 15 mandates annual FSOC reports on stablecoin systemic risks. FSOC could even invoke its Dodd-Frank powers[82] to designate a stablecoin arrangement as systemically important,[83] though it has not used such authority in years.[84] While GENIUS's framework is specialized, general administrative law still applies. Major rules will face *State Farm*-style arbitrary-and-capricious review[85] if challenged.[86] Robust interagency consultation and cost-benefit analysis are thus essential to insulate the new rules from judicial invalidation.[87]

These tools collectively turn GENIUS from legislative intent into operational reality. Regulators must deploy them judiciously to avoid fragmentation, as discussed in Part III.

PART III: ASSESSING GENIUS – DOCTRINAL COHERENCE, RISK ALLOCATION, AND ENFORCEMENT DYNAMICS

This Part III evaluates whether GENIUS achieves its goal of marrying innovation with market integrity. It begins by arguing that the Act's carve-out aligns with, rather than repudiates, core securities doctrines like *Basic*'s fraud-on-the-market presumption[88] and *Halliburton II*'s price-impact rule.[89] Next, it examines the Act's economic logic, suggesting it allocates calculable risks to regulators while reducing Knightian uncertainty[90] in markets. Then, it

---

[82] Section 113 of the Dodd-Frank Act (2010) empowers the Financial Stability Oversight Council (FSOC) to designate non-bank firms as systemically important, triggering stricter oversight. Post-2008, FSOC applied this to firms like AIG, though some designations were later lifted.

[83] A systemically important designation flags institutions whose failure could destabilize the economy, triggering tougher rules. Post-Dodd-Frank, firms like Goldman Sachs face higher capital requirements and stress tests as SIFIs.

[84] Federal Deposit Insurance Corporation, *2021 Annual Report* (2021), https://www.fdic.gov/about/financial-reports/reports/2021annualreport/ (discussing FSOC powers under Dodd-Frank).

[85] Arbitrary-and-capricious review, per Motor Vehicle Manufacturers Ass'n v. State Farm (1983), requires agencies to justify actions with reasoned explanations. The court, for instance, vacated NHTSA's airbag rule revocation for lacking sufficient rationale.

[86] *Motor Vehicle Mfrs. Ass'n v. State Farm Mut. Auto. Ins. Co.*, 463 U.S. 29 (1983).

[87] WilmerHale, *supra* note 2 (discipline through review).

[88] The fraud-on-the-market theory from Basic Inc. v. Levinson (1988) lets securities fraud plaintiffs presume reliance on public misrepresentations in efficient markets. In class actions over false earnings reports, investors don't need to prove they read the statements.

[89] The price-impact rebuttal from Halliburton Co. v. Erica P. John Fund (2014) allows defendants to challenge fraud-on-the-market claims by showing misstatements didn't affect stock prices. A company might use event studies to argue a misleading press release had no market impact.

[90] Knightian uncertainty, named after Frank Knight, describes unpredictable unknowns without assignable probabilities, unlike calculable risks with known odds. While roulette odds (1/38) represent calculable risk, predicting the economic impact of an unprecedented AI breakthrough reflects Knightian uncertainty due to the lack of historical data.

analyzes the new private enforcement mechanism as a signaling device. Finally, it addresses potential counterarguments, transitioning to the global perspectives in Part IV.

III.A Doctrinal Coherence

The Securities Act exclusion in GENIUS § 17(c) appears, at first glance, to repudiate *Basic Inc. v. Levinson*'s fraud-on-the-market doctrine. It exempts payment stablecoins from Rule 10b-5 entirely.[91] Yet the exemption is narrower than it looks. It applies only to coins issued in compliance with GENIUS. Non-compliant tokens remain fully subject to the federal securities laws. The statute therefore draws a bright doctrinal line. Fully collateralized, licensed, and transparent stablecoins are not "securities"; those outside the regime continue to be analyzed under *Howey* and its progeny.[92] In effect, Congress resolved a decade of ambiguity by codifying what counts as a purely payment instrument.

Rather than undercutting fraud-on-the-market principles, GENIUS operationalizes them in a different way. *Basic* presumed that in an efficient market, public misrepresentations distort price; *Halliburton II* later allowed defendants to rebut this by showing no price impact.[93] GENIUS preempts the scenario entirely for compliant stablecoins: real-time reserve disclosures and strict asset requirements mean that price should always reflect fundamental value (one dollar), leaving little room for *Basic*-type misinformation to affect the market price.[94] In that sense, § 17(c) can be read as completing the trajectory of *Halliburton II*: it preserves price integrity by making material facts (reserve status) continuously available, thereby reducing the need for litigation presumptions.

At the same time, GENIUS does not abandon the logic of *Basic* for the broader crypto market. Non-compliant or algorithmic stablecoins,[95] and other crypto tokens promising profits, remain subject to Rule 10b-5. Indeed, *Halliburton II*'s focus on price impact finds a parallel in GENIUS's design: any stablecoin that fails to maintain the mandated transparency would lose its exemption and potentially face antifraud action, ensuring that only tokens with demonstrably sound backing avoid securities treatment.[96] In short,

---

[91] *Basic Inc. v. Levinson*, 485 U.S. 224 (1988).
[92] GENIUS § 17(c).
[93] *Halliburton Co. v. Erica P. John Fund, Inc.*, 573 U.S. 258 (2014).
[94] GENIUS § 4 (disclosures).
[95] An algorithmic stablecoin maintains its value through automated algorithms and smart contracts that adjust token supply based on market demand, rather than relying on full collateral reserves. Imagine a scenario where a stablecoin's price dips below $1 due to waning demand; the algorithm might reduce the number of tokens in circulation by "burning" some, aiming to nudge the price back to its target.
[96] *Halliburton Co. v. Erica P. John Fund, Inc.*, *supra* note 121, at 279.

Congress refined, rather than rejected, the enforcement toolkit, shifting much of it from courtrooms to regulatory offices.

Finally, GENIUS streamlines enforcement by discarding the complex scienter doctrine in favor of strict contract-type liability. Unlike Rule 10b-5, which restricts recovery to cases where plaintiffs can prove "knowing or reckless" misconduct, the GENIUS's mandatory redemption regime imposes an objective performance standard.[97] This renders the heightened pleading standards of the PSLRA and *Tellabs* obsolete for stablecoin holders.[98] By replacing the murky inquiry into a CEO's state of mind with a binary test, asking whether issuer redeemed the token at par value, GENIUS lowers the barrier to recovery, trading the doctrinal nuance of securities fraud for the blunt efficiency of contract law.

III.B Risk-Allocation Efficiency

Economic theory distinguishes calculable risk from Knightian uncertainty.[99] Traditional banking law manages measurable liquidity risk via capital ratios and stress tests.[100] Uncertainty remains in the blind spot.[101] GENIUS attacks this problem by transforming what was uncertainty (the true value of reserves in opaque stablecoins) into quantifiable risk through mandatory disclosures and asset rules. By forcing reserve composition into Treasury bills and cash, the Act ties stablecoin stability to the well-modeled risks of short-term sovereign debt.[102]

This is evident in market dynamics: a recent BIS[103] study found that a $3.5 billion inflow into stablecoins (prompting equivalent T-bill purchases) could lower 3-month Treasury yields by ~2 basis points, whereas a $3.5 billion outflow raises yields by ~6–8 basis points.[104] The asymmetry suggests that redemptions (runs) hit harder than inflows, reflecting uncertainty-driven surges in liquidity demand.[105]

By constraining reserves to near-riskless assets, GENIUS limits the variance of those impacts. The same BIS paper noted that such reserve

---

[97] *See Ernst & Ernst v. Hochfelder*, 425 U.S. 185 (1976).
[98] *See Tellabs, Inc. v. Makor Issues & Rights, Ltd.*, 551 U.S. 308 (2007); see also Private Securities Litigation Reform Act (PSLRA) of 1995, Pub. L. No. 104-67, 109 Stat. 737 (imposing heightened pleading standards to curb frivolous securities class actions, requiring plaintiffs to plead with particularity facts giving rise to a strong inference of scienter).
[99] Frank H. Knight, *Risk, Uncertainty, and Profit* ch. 7 (1921).
[100] Federal Deposit Insurance Corporation, *2021 Annual Report*, *supra* note 112.
[101] *Id.*
[102] GENIUS Act, *supra* note 2, § 4.
[103] The Bank for International Settlements (BIS) studies stablecoins' economic impacts and risks. A 2025 BIS report noted that $3.5 billion in stablecoin Treasury holdings could shift short-term yields by 25 basis points, arguing stablecoins fall short as sound money due to stability and elasticity issues.
[104] BIS Working Papers No. 1270, *supra* note 75, at 1.
[105] *Id.*

mandates compress the risk premia[106] embedded in stablecoin prices—essentially anchoring them to government debt yields.[107] This may reduce speculative trading on stablecoin solvency, shrinking the "uncertainty tax" that markets previously extracted from less certain stablecoins.[108] In turn, that could narrow the gap between privately optimal reserve levels and socially optimal ones, aligning issuer incentives with systemic stability.[109]

There is also an informational efficiency gain. Under GENIUS § 4, monthly reserve attestations by a registered accounting firm become a baseline transparency requirement.[110] In theory, this regular flow of hard information should replace the rumor-driven swings that characterized earlier stablecoin episodes. Price volatility stemming from misinformation or fear could be dampened as facts become available on a set schedule. In financial terms, the Act attempts to convert an environment of uncertainty (unknown reserve quality) into one of risk (known reserve quality with some variance). Markets can price risk; they panic at uncertainty. GENIUS thus strives to foster a more continuous equilibrium, although whether monthly disclosures suffice versus real-time proofs will likely be an area for future refinement.[111]

Lastly, the Act's inflexible rules do raise questions about innovation. By freezing reserve composition to government-issued or overnight assets, GENIUS bets that the efficiency gains from certainty outweigh the lost yield or flexibility. Critics might argue this effectively turns stablecoins into narrow banks,[112] unable to evolve new models. But Congress appears to have judged that, at least for a core payment medium, stability and predictability are paramount. Given the systemic stakes (stablecoins serve as settlement and liquidity in crypto markets), treating them as public money equivalents has a compelling risk-utility rationale. If new technology allows different risk mitigation (e.g., real-time audits or algorithmic stabilization), regulators may need to revisit these strictures, but for now the pendulum clearly swings toward minimizing unknowns.

---

[106] A risk premium is the extra return investors seek for taking on calculable risk, while an "uncertainty tax" metaphorically captures the economic drag from Knightian uncertainty, like reduced investments. In volatile markets, bond yields might include a 2% risk premium; during geopolitical crises, an additional 1% "uncertainty tax" could emerge as investors hoard cash.

[107] *Id.*

[108] *Id.*

[109] *Id.*

[110] GENIUS Act, *supra* note 2, § 4(1)(B).

[111] Proof-of-reserves is a process, often involving cryptographic methods or third-party audits, to verify that a crypto custodian holds enough assets to cover all customer deposits or tokens. Crypto exchange Kraken, for instance, uses independent audits to confirm 1:1 asset backing, updating reserve statuses on real-time dashboards for transparency.

[112] A narrow bank accepts deposits but invests only in safe assets like central bank reserves, avoiding risky loans. Imagine a narrow bank parking all customer deposits at the Fed, earning modest interest but offering lower rates to depositors due to minimal risk.

III.C Private Enforcement and Market Signaling

GENIUS shifts the primary mechanism of market discipline from ex post litigation to ex ante liquidation. In a securities regime, the primary deterrent is the fear of a class-action lawsuit years later, a risk aggressive managers often discount. Under GENIUS, the deterrent is immediate insolvency. Because every redemption request tests the issuer's solvency in real-time, and failure to pay triggers default, the market disciplines issuers instantly.

This binary structure collapses the complex procedural machinery of securities fraud (proving scienter, reliance, and loss causation) into a simple objective inquiry: Did the issuer pay? If the answer is no, the remedy is not a years-long discovery process, but the immediate seizure and distribution of ring-fenced collateral.

This doctrinal pivot imposes a deliberate trade-off. Holders forego the potential for speculative "lost profit" damages common in securities class actions. In exchange, they gain the certainty of par value, secured by a property right rather than a promise. Insolvency becomes a mechanical liquidation of specific assets rather than a chaotic battle for residual value.

III.D Counter-Arguments and Caveats

Critics raise three main objections. The first is regulatory fragmentation: GENIUS leaves multiple licensing pathways: federal bank, state trust, or non-bank Treasury license. Fragmentation, however, is mitigated by reciprocal recognition and uniform asset standards. A state regime cannot significantly diverge if it wants certification, and large issuers inevitably fall under federal supervision as discussed. The Act essentially mimics dual banking in the crypto context; while that may introduce some arbitrage, the $10 billion threshold and federal oversight triggers act as circuit breakers. Over time, one expects convergence rather than divergence, especially as Treasury can tighten equivalence criteria if needed.

A second concern is whether a primarily *ex ante* framework can handle fast-moving fraud or failures. Skeptics point out that no matter how strict the rules, bad actors may still lie about reserves or engage in risky off-balance-sheet schemes. If agencies are slow or under-resourced, problems could fester (as in bank failures where examiners miss red flags). In those cases, would GENIUS's limited private suits suffice to uncover and rectify misconduct? Possibly not; private plaintiffs usually act after-the-fact, and if information is tightly controlled by issuers, even the attestation process could be gamed. The Act's answer is heavy criminal penalties for false statements (specifically, the Act creates new federal penalties of up to $1 million and 5 years imprisonment

for violations),[113] and reliance on whistleblowers or auditors to surface issues. It remains a trade-off: by curbing class actions, some fraud might slip through longer, but Congress likely calculated that the trade-off is worth the innovation gains. Still, regulators must be vigilant because the framework's credibility hinges on swift enforcement of the most egregious violations, lest confidence erode.

A third critique is that GENIUS might undercut innovation by ossifying one model of stablecoins. The private right's narrow scope could disincentivize potential issuers who want to experiment outside the strict limits, since doing so would mean entering the Wild West of full securities law liability. Similarly, the reserve constraints effectively outlaw algorithmic stablecoins or those using corporate debt, perhaps foreclosing future breakthroughs that could manage stability differently. Proponents would respond that the catastrophic failure of TerraUSD and others justified taking those off the table, at least until a proponent can convincingly demonstrate a safer design. The Act does allow the Treasury Secretary (with Fed input) to expand permissible reserves or grant targeted exemptions,[114] so there is a safety valve for innovation. But use of that valve will demand compelling evidence. In short, the law is intentionally conservative; it is easier to relax rules later than to tighten them after a crisis. Whether that stance holds in a global competition (if other jurisdictions allow more experimentation) is a strategic question beyond doctrinal boundaries.

PART IV: GLOBAL PERSPECTIVES – MICA, SINGAPORE'S PSA, AND GENIUS'S UNIQUE SYNTHESIS

U.S. lawmakers did not write on a blank slate. This Part IV compares GENIUS's approach with the EU's comprehensive Markets in Crypto-Assets Regulation (MiCA)[115] and Singapore's evolving Payment Services Act (PSA) regime.[116] The contrast reveals GENIUS as a hybrid model, blending aggressive prudential rules with private enforcement, which is a combination not fully seen elsewhere. It begins by examining MiCA's all-in licensing and prudence. Next, it explores Singapore's flexible start and tightening future. Then, it moves toward a global synthesis. Finally, it transitions to the implementation roadmap in Part V. These comparisons offer both validation and cautionary tales, informing U.S. regulators as they implement the Act.

IV.A Europe's MiCA: Administrative Supervision

[113] GENIUS § 3(f) (establishing criminal of up to $1,000,000 and 5 years imprisonment for knowingly participating in unlicensed issuance of payment stablecoins).
[114] GENIUS § 3(c).
[115] *Regulation (EU) 2023/1114*, of the European Parliament and of the Council of 31 May 2023 on Markets in Crypto-Assets, 2023 O.J. (L 150) 40 ("MiCA").
[116] Payment Services (Amendment) Act 2021 (Act 2 of 2021) (Sing.) ("PSA").

The European Union took a top-down approach in MiCA, which requires any issuer of asset-referenced tokens (including stablecoins tied to fiat) to secure prior authorization from a national regulator before offering the token in the EU.[117] In practice, this is a license-first, operate-later regime: no EU circulation without regulatory approval of a detailed crypto-asset white paper and compliance with capital and governance rules.[118] MiCA provided an transitional measures allowing existing issuers to continue operating while seeking authorization. GENIUS similarly affords a transition period and provisional registration, reflecting an iterative rollout to avoid market disruption.[119]

MiCA's prudential requirements parallel GENIUS's in spirit but differ in flexibility. For "e-money tokens"[120] (single-fiat stablecoins), MiCA Article 36 mandates issuers maintain a reserve of low-risk assets at 100% of outstanding tokens, notably requiring that at least 30% of reserves (rising to 60% for significant tokens) be held in liquid bank deposits.[121] By comparison, GENIUS § 4 allows no such latitude: reserves must be cash or ≤93-day Treasuries only.[122] The U.S. opted for a stricter definition of "high-quality liquid asset," likely influenced by its experience with money market fund runs and a desire for absolute clarity on liquidity.[123] EU regulators, having contended with negative interest rates and bank reliance, allowed a bit of diversification (e.g., bank deposits) on the theory that short-term bank debt can be safe in moderation.[124] The transatlantic difference in reserve composition limits may thus reflect different financial contexts and risk tolerances. Still, both regimes converge on requiring full (or near-full) collateralization and prohibiting the risky rehypothecation[125] practices that contributed to past crypto crashes.

Another distinction is enforcement modality. MiCA places primary weight on administrative supervision: marketing communications must be "fair, clear and not misleading," and regulators have the power to halt issuance or withdraw authorization immediately.[126] However, MiCA also

---

[117] MiCA arts. 16–23, 43–51.
[118] *Id.*
[119] GENIUS § 20(a).
[120] An "e-money token" under MiCA is a crypto-asset tied to a single fiat currency, like electronic money, with strict reserve and redemption rules. A hypothetical euro-pegged "EURT" token would require the issuer to hold full euro reserves.
[121] MiCA art. 36 (for ARTs) and art. 50 (for EMTs).
[122] GENIUS § 4.
[123] WilmerHale, *supra* note 3 (stricter U.S. limit rationale).
[124] *Id.*
[125] Rehypothecation happens when a financial institution uses client-deposited assets, like securities, as collateral for its own borrowing, amplifying risks if markets falter. In traditional finance, a broker might use a client's stocks to secure a loan; in crypto, some custodians faced backlash for rehypothecating user assets, a factor in collapses like FTX.
[126] MiCA art. 53 (marketing of e-money tokens).

includes explicit statutory civil liability by allowing token holders to sue issuers for damages if the white paper is misleading or incomplete.[127]

GENIUS similarly combines regulatory supervision with private enforcement but achieves it differently. Rather than a statutory civil liability provision for disclosure fraud, GENIUS creates enforcement through contractual obligation (mandatory redemption) and property rights (bankruptcy priority). Token holders can sue for breach of the redemption obligation or assert priority claims in insolvency. A key difference is the mechanism: MiCA creates a statutory tort for bad disclosure; GENIUS creates a statutory contract for non-payment. It will be interesting to see whether a tort-type regime or a contract-type regime better optimized the innovation and antifraud tradeoffs.

Finally, MiCA's scope is broader in covering the full spectrum of crypto-assets, but within stablecoins it draws lines between "significant" stablecoins and others. If a stablecoin (whether asset-referenced or e-money) exceeds certain thresholds (volume, users, or value), it faces additional oversight from the European Banking Authority, akin to systemically important status.[128] GENIUS doesn't explicitly designate "systemic" stablecoins, but the FSOC reporting and the $10 billion state oversight cutoff serve a similar tiering function.[129] In both regimes, big players get heightened scrutiny one way or another. The lesson seems to be: contain risks by scaling oversight with scale of operations—a principle likely to be mirrored globally as stablecoins become integral to finance.

IV.B Singapore's VASP Rules: Flexible Start, Tightening Future

Singapore's stablecoin regulatory framework is anchored by the PSA, which came into force in 2020 and was significantly expanded in 2024 to cover custodial and transfer services. The Monetary Authority of Singapore (MAS) grants licenses on an activity basis: exchange, transfer, or custody each requires separate approval and compliance with AML and technology-risk standards.[130] Capital and safeguarding requirements scale with transaction volume, and providers must segregate customer assets in trust.[131] Unlike MiCA and GENIUS, Singapore's PSA initially did not mandate reserve-asset composition and has instead relied on segregation and disclosure obligations to control run risk.[132] (In August 2023, MAS finalized a stablecoin framework to ensure the value stability, requiring issuers of "MAS-regulated stablecoins" to maintain 100% reserve assets in cash, cash

[127] MiCA arts. 26 (ART civil liability) and 52 (EMT civil liability).
[128] MiCA arts. 43, 56.
[129] GENIUS § 15.
[130] PSA § 6.
[131] PSA § 23.
[132] *Id.*

equivalents, or ≤3-month government debt and to honor redemption within five days, bringing Singapore's approach closer to a prudential model.)[133] MAS also exercises discretionary powers to issue conditional or restricted licenses, tailoring requirements to firm-specific risk (for instance, imposing additional capital on a stablecoin issuer or limiting business lines if deemed necessary).

Singapore's enforcement record provides another data point. MAS issued 35 reprimands and one license cancellation across the broader payments and crypto sectors in 2023/24. It imposed its first AML-related composition penalties under the PSA in June 2025 against five providers (totaling S$960,000 million in fines).[134] The light enforcement touch may reflect high compliance, limited supervisory capacity, or both. Notably, no major stablecoin incidents have originated from MAS-licensed issuers, perhaps due to the relatively small scale of its issuers and proactive risk management by firms seeking to maintain Singapore's reputation.[135] Still, some observers argue that the absence of stronger action indicates that a purely activity-based regime might miss latent risks until they materialize, as regulators are not delving into reserves or business models unless problems emerge.

From an innovation perspective, Singapore's flexible licensing sparks entrepreneurship but risks supervisory lag.[136] GENIUS splits the difference: incumbents get time to adapt, new entrants face upfront hurdles, and everyone must converge on identical reserves.[137] In effect, the U.S. chose to tolerate less diversity in stablecoin models in exchange for more certainty, whereas Singapore historically tolerated more diversity at the expense of potential unseen fragilities. However, with MAS's new stablecoin rules (which closely parallel GENIUS in requiring high-quality reserves and timely redemption), the gap is narrowing. One could argue Singapore used a sandbox mentality (let the market grow first, then regulate key aspects) while the U.S. jumped to define the end-state structure nationally. Each path has merits: Singapore's MAS combines central-bank functions with market supervision, enabling agile, activity-based oversight that could adapt quickly;[138] U.S. regulators are fragmented, thus GENIUS allocates duties across Treasury, the Fed, and state supervisors, forcing them into collaboration.[139] Effective coordination

---

[133] Morgan Lewis, *Monetary Authority of Singapore Finalises Stablecoin Regulatory Framework* (Aug. 22, 2023), https://www.morganlewis.com/pubs/2023/08/monetary-authority-of-singapore-finalises-stablecoin-regulatory-framework.
[134] Monetary Authority of Singapore, *Enforcement Actions* (July 3, 2025), https://www.mas.gov.sg/regulation/enforcement/enforcement-actions.
[135] Although Terraform Labs (creators of TerraUSD/Luna) was incorporated in Singapore, they were not regulated under the PSA as a stablecoin issuer at the time.
[136] *Payment Services (Amendment) Act 2021*, *supra* note 171 (flexible licensing).
[137] GENIUS § 20.
[138] Monetary Authority of Singapore, *Annual Report 2024/25*.
[139] GENIUS §§ 3, 5.

mechanisms (e.g., Treasury-Fed joint guidance or FSOC memoranda) will be critical to emulate the nimbleness that a unitary regulator like MAS enjoys.[140]

Looking ahead, Singapore's limited enforcement might demonstrate the limits of regulatory capacity. MiCA may face similar constraints once EU issuance scales. GENIUS anticipates this by creating a mandatory redemption obligation that gives token holders contractual remedies for non-payment. Yet private enforcement raises its own design questions: damage caps may discourage large investors from suing if losses are small, and federal preemption means all cases crowd into federal courts, potentially creating a bottleneck if dozens of suits arise from a single incident.[141] The comparative lesson is that regulation of stablecoins is not a one-time fix but an ongoing governance challenge. Whether through regulatory flexibility (Singapore), comprehensive licensing (EU), or a blended approach (U.S.), the regime must evolve with the market's rapid innovation cycles while maintaining the public's trust in a stable value instrument.

IV.C Toward a Global Synthesis

None of the major jurisdictions have a monopoly on wisdom in this arena. The EU's MiCA, Singapore's PSA, and the U.S. GENIUS Act all aim to tame stablecoins, but each emphasizes different tools. A possible convergence is visible: transparency and high-quality reserves are emerging as universal pillars (MiCA Art. 36, MAS's 2023 framework, and GENIUS § 4 all hammer on this point). Conversely, approaches to enforcement and innovation vary—Europe leans on administrative control, the U.S. on a mix of regulation and litigation, and Singapore on phased regulation with later tightening. Over time, if one approach yields markedly better outcomes (e.g., fewer runs, more innovation, or better integration with traditional finance), others will likely adapt.

Already, cross-pollination is happening. European regulators are watching U.S. developments, especially the interplay of private suits and market behavior, since the EU historically hasn't empowered private crypto litigation.[142] U.S. officials, in turn, scrutinize MiCA's rollout for any regulatory arbitrage[143] or unintended consequences, such as crypto firms relocating to Europe for a more unified regime. Singapore continues to serve as a regional hub whose experiments (like exchange licensing and now stablecoin reserves) provide valuable case studies. In a sense, stablecoin governance is in its "laboratory" phase globally, with each major framework

[140] WilmerHale, *supra* note 3 (coordination critical).
[141] WilmerHale, *supra* note 3 (design questions).
[142] WilmerHale, *supra* note 3 (transparency constant).
[143] Global regulatory arbitrage in crypto involves operating in jurisdictions with lax rules to avoid compliance costs. Many exchanges base in places like the Seychelles to offer leveraged trading banned in stricter regions like the U.S. or EU.

a live experiment. The likely endgame could be a set of international standards or mutual recognitions, especially if stablecoins underpin cross-border payments at scale. GENIUS explicitly nods to this by allowing foreign stablecoins from comparable regimes to operate in the U.S. upon OCC registration and U.S. reserve custody.[144] That comparability assessment will effectively judge MiCA, Singapore, and others against the U.S. benchmark, incentivizing a race to high standards.

In conclusion, GENIUS's strictness stands out. Some call it the strictest stablecoin regime in the world, but it may set a norm that others gradually approach.[145] Its novel blend of prudential rigor and private enforcement offers a distinctive model, potentially influencing global standards as jurisdictions learn from each other's experiments.

PART V: IMPLEMENTATION ROADMAP – TURNING GENIUS INTO REALITY

GENIUS's promise hinges on execution. Part V provides a practical roadmap for stakeholders, drawing on the analysis in Parts I–IV to offer actionable guidance. It addresses four audiences: regulators, industry players, legal stakeholders, and policymakers. For each, it outlines immediate steps, anticipates challenges, and suggests strategies to align implementation with the Act's goals of stability, innovation, and antifraud protection.

V.A For Regulators (Treasury, Federal Reserve, OCC, FSOC)

Regulators face a tight timeline to operationalize GENIUS. The Treasury Department will likely prioritize issuing reserve valuation methodologies and disclosure templates within six months of enactment to give issuers clarity.[146] These rules must balance precision (e.g., specifying acceptable T-bill maturities) with flexibility (e.g., allowing minor deviations for operational needs). The Federal Reserve's master-account criteria for non-bank issuers are equally urgent; early indications suggest a strict tiered approach, but the Board must avoid overly restrictive thresholds that exclude smaller players, as this could consolidate the market unduly.[147]

Interagency coordination is non-negotiable. The Stablecoin Certification Review Committee should establish clear metrics for state-regime equivalence to prevent arbitrage.[148] Treasury's exemption authority under § 3(c) should be used sparingly, reserved for truly innovative pilots with robust

---

[144] GENIUS § 18(a) (exceptions for foreign payment stablecoin issuers).
[145] *See* WilmerHale, *supra* note 3.
[146] GENIUS § 13(a) (rulemaking authority).
[147] Board of Governors of the Federal Reserve System, *Guidelines for Evaluating Account and Services Requests*, FR Doc. 2022-17051 (Aug. 15, 2022) (or 87 Fed. Reg. 51,099 (Aug. 19, 2022) for the Federal Register publication).
[148] GENIUS § 4(c).

risk controls. FSOC's annual reports must go beyond boilerplate, leveraging BIS and Chainalysis data to quantify systemic risks and recommend targeted adjustments. Regulators should also prepare for judicial challenges. Majority rules must be grounded in rigorous cost-benefit analyses to withstand *State Farm* scrutiny.[149]

A global lens is critical. Treasury should engage with IOSCO, BIS, and the FSB to shape emerging standards, ensuring U.S. interests (e.g., AML compliance and dollar dominance) are protected.[150] Bilateral agreements with the EU and Singapore could pave the way for mutual recognition, reducing compliance burdens for cross-border issuers while maintaining high standards.[151]

V.B For Industry (Issuers, Exchanges, Custodians)

Issuers should initiate internal "GENIUS readiness" audits. For those planning to become permitted issuers, this means shoring up reserve management processes, engaging auditors for monthly attestations, and ensuring redemption operations can meet same-day demands. Those deciding not to seek a license (perhaps due to business model incompatibility) face a hard stop: continuing to issue unlicensed stablecoins after the grace period will be illegal. Such firms might pivot to other crypto products or relocate to jurisdictions outside U.S. reach (though extraterritorial provisions make that risky if they have U.S. users).

Exchanges and custodians will need to review their listings. Three years post-enactment, any stablecoin not issued by a permitted issuer is contraband in effect. Delisting non-compliant coins ahead of time could mitigate enforcement risk. These intermediaries should also strengthen disclosure to users about what regulatory status each stablecoin has (akin to how stockbrokers label whether an asset is SIPC-insured or not). Proactively investing in compliance tech, like real-time reserve verification solutions or analytics that monitor issuer assets, could become a competitive advantage, as users gravitate to platforms that transparently prove stablecoin safety.

Bank-affiliated issuers can continue operations but must overhaul attestation workflows to comply with the new standards.[152] Venture funding has swung toward custody analytics and compliance-as-a-service startups, signaling market demand for tools that facilitate GENIUS adherence.[153] State-based trust companies weigh whether to convert into federally licensed

---

[149] *Motor Vehicle Mfrs. Ass'n v. State Farm Mut. Auto. Ins. Co.*, 463 U.S. 29 (1983).
[150] *See* WilmerHale, *supra* note 3 (discipline through review).
[151] This might be done via bilateral agreements or through bodies like IOSCO or the BIS's Innovation Hub.
[152] *See* WilmerHale, *supra* note 3 (overhaul for bank-affiliated issuers).
[153] Chainalysis, *2025 Crypto Crime Mid-Year Report*, supra note 1, at 12 (venture funding shifts).

issuers. They could rely on § 7's state-qualification track while lobbying for accommodating Treasury rules.[154] (Under GENIUS, state-qualified issuers with ≤$10 billion outstanding may opt to remain under comparable state regimes, but larger issuers must transition to federal oversight within 360 days.)

For counsel to existing issuers, the immediate task is to prepare applications and ensure they are filed and pending before the Act's effective date (January 18, 2027). Filing a timely application is critical because it unlocks the Section 5(f) safe harbor, which allows regulators to waive full compliance requirements for up to 12 months while the application is processed. Counsel should assemble a cross-functional team to map current reserve assets against the statutory list and draft a reserve-transition plan to ensure full compliance can be achieved within that strict 12-month waiver period.

V.C For Legal Stakeholders (Litigators, Courts, Scholars)

The early jurisprudence of GENIUS will be defined not by what the Act adds to federal litigation, but by what it removes. By explicitly amending the Securities Act and Exchange Act to exclude payment stablecoins from the definition of a "security," GENIUS renders the traditional playbook of private securities litigation (*Blue Chip Stamps* standing,[155] *Janus* "maker" liability,[156] and the PSLRA's discovery stay[157]) largely irrelevant. Plaintiffs' attorneys apparently cannot bring Section 10(b) fraud-on-the-market claims for stablecoin de-pegs. Instead, the legal battlefield will shift to state common law and bankruptcy court.

Without a federal statutory private right of action, plaintiffs will likely plead breach of contract (based on the mandatory redemption policies required by Section 4) or state consumer protection violations.[158] Defense counsel will face a complex strategic choice: defend these cases in state court or attempt to remove them to federal court under the *Grable* doctrine by arguing that the state-law claim turns on a substantial federal issue (e.g., the interpretation of "timely redemption" under GENIUS).[159]

---

[154] GENIUS § 7 (establishing the "State Qualified Payment Stablecoin Issuer" framework).
[155] The standing limit from *Blue Chip Stamps v. Manor Drug Stores*, 421 U.S. 723 (1975) restricts Rule 10b-5 lawsuits to actual securities buyers or sellers. Investors who avoided buying a stock due to fraud can't sue; only those who traded and lost can.
[156] The "maker" doctrine from Janus Capital Group v. First Derivative Traders (2011) limits Rule 10b-5 liability to entities with ultimate control over a statement's content. A mutual fund advisor, for example, isn't liable for statements in a fund's prospectus if the fund issues it.
[157] 15 U.S.C. § 78u-4(b)(3)(B) (mandating a stay of discovery during the pendency of a motion to dismiss in private securities litigation).
[158] GENIUS § 7(f)(4) (explicitly preserving State consumer protection laws).
[159] *Grable & Sons Metal Prods., Inc. v. Darue Eng'g & Mfg.*, 545 U.S. 308 (2005).

The most novel area for judicial interpretation will be insolvency priority. Section 11 of the Act amends the Bankruptcy Code to grant stablecoin holders a "first priority" claim over other creditors.[160] In the event of an issuer failure, litigators will fight fierce battles over the scope of this priority: does it apply to all assets in the estate or strictly the "required reserves"? Courts will need to determine how to distribute assets "ratably" if an issuer has commingled funds, potentially creating a new body of specialized crypto-bankruptcy case law that prioritizes token holders over general unsecured creditors.

For scholars, GENIUS offers fertile ground for interdisciplinary analysis. Economists can model the Act's impact on stablecoin liquidity premiums using BIS data on Treasury yield effects.[161] Legal theorists can explore how the statutory exclusion displaces Howey's functional test in fintech contexts, potentially signaling a shift toward legislative rather than judicial classification of digital assets[162] Policy analysts could track consumer recovery rates in insolvency scenarios by utilizing historical banking data to assess whether strict mandatory redemption (Section 4) preserves user wealth more effectively than disclosure-based securities litigation.[163]

However, legal strategists must note that GENIUS largely eliminates federal private enforcement avenues. By explicitly removing stablecoins from the definition of a security (Section 17), the Act precludes Rule 10b-5 class actions. Instead of well-pleaded complaints, under GENIUS, early case law will likely focus on the jurisdictional boundaries of the regulators, as the Act relies on agency supervision and criminal penalties (Section 3(f)) rather than private civil litigation to police the industry.

V.D For Policymakers and Future Revisions

Implementation will undoubtedly reveal areas needing fine-tuning. One foreseeable adjustment is the scope of permissible reserve assets. If macroeconomic conditions change (e.g., prolonged negative interest rates or a shortage of T-bills), regulators might seek flexibility to include other safe assets. Any such move should be evidence-based and perhaps conditional (for example, allowing certain AAA commercial paper up to a small percentage if justified by market conditions). Another likely area of evolution is interoperability and standards: as stablecoins become embedded in payment

---

[160] GENIUS § 11(d) (amending 11 U.S.C. § 507 to create subsection (e) priority for stablecoin holders).
[161] BIS Working Papers No. 1270.
[162] *Cf.* GENIUS § 17 (exempting stablecoins from the definition of a security) with *SEC v. W.J. Howey Co.*, 328 U.S. 293 (1946).
[163] *See generally* Adam J. Levitin, *Not Your Keys, Not Your Coins: Unpriced Credit Risk in Cryptocurrency*, 101 Tex. L. Rev. 877 (2023) (analyzing credit risk and bankruptcy treatment of custodial assets).

systems, the government might issue standards on API access, messaging format (ISO 20022 compliance),[164] or other technical matters to ensure they plug into FedNow or cross-border networks seamlessly.[165] Additionally, coordination with existing crypto enforcement remains vital. The SEC and CFTC will continue policing frauds involving crypto assets that fall outside GENIUS's ambit (e.g., algorithmic "stablecoins" not covered). Agencies should clarify via guidance how GENIUS and pre-existing regulatory frameworks intersect. The SEC and CFTC are uniquely positioned to issue a statement regarding who regulates any token labeled as a "stablecoin" that does not qualify as a "payment stablecoin" under GENIUS.

Ongoing empirical evaluation is essential. The Act calls for FSOC to track systemic risks,[166] but academia and industry should supplement with independent research: Has the incidence of fraud or run events decreased? What are the innovation outputs (number of new projects, capital raised) in the stablecoin space post-Act versus pre-Act? Are markets pricing stablecoin risk more uniformly? These data will inform whether GENIUS indeed delivered on its promise or if further legislative tweaks are warranted. For instance, if private suits prove too rare (perhaps because damages are too low to attract lawyers), Congress might consider enhancing penalties or expanding the CFPB's specific oversight authorities for consumer protection.[167] Conversely, if innovation appears stymied (say, U.S. stablecoin market share globally declines sharply), policymakers might broaden the scope of the Section 3(c) safe harbors to allow for larger-scale experimentation.[168]

One should also keep an eye on the international dimension. Treasury's role in recognizing foreign stablecoin regimes will pressure U.S. regulators to articulate what "comparable" means. It's plausible that a group of jurisdictions (G7 or G20) could converge on mutual principles such that a foreign issuer could operate across multiple markets with one primary license. U.S. policymakers should engage in that dialogue early, to both share the U.S. experience and to ensure U.S. interests (like law enforcement access to

---

[164] The ISO 20022 messaging standard is a global framework for financial communications, supporting rich, structured data exchange in payments and securities. SWIFT's adoption of ISO 20022 for cross-border payments allows banks to include detailed information, like invoice numbers, in transaction messages.

[165] FedNow®, launched by the Federal Reserve in 2023, is an instant payment service enabling real-time, round-the-clock interbank transfers in the U.S. A small business, for instance, might use FedNow to receive a customer payment at midnight, bypassing the delays of traditional ACH transfers.

[166] GENIUS §§ 15(a) (mandating primary Federal payment stablecoin regulators to annually report on the status of the industry) and 15(b) (mandating FSOC to incorporate those findings into its annual reports).

[167] GENIUS § 6(c) (preserving existing Federal consumer financial law).

[168] GENIUS § 3(c) (authorizing limited safe harbors for de minimis transaction volumes).

transaction data) are baked into any global framework.[169] This might be done via bilateral agreements or through bodies like IOSCO or the BIS's Innovation Hub.[170]

CONCLUSION

The GENIUS Act emerged from a confluence of crisis and opportunity, born of a desire to prevent another TerraUSD and to unleash the benefits of stablecoins under a safer, unified regime. Its success now hinges on diligent implementation. Early indicators are promising as markets have reacted with cautious optimism. Some major issuers have signaled an intent to obtain federal licenses, effectively validating the Act's approach. Internationally, U.S. leadership in crypto regulation has been bolstered, with some foreign regulators now mulling similar carve-outs for payment stablecoins.

Yet the Act's promise is not self-executing. As detailed in the implementation roadmap, success hinges on expeditious rulemaking, particularly regarding the capital and liquidity requirements under Section 4(a)(4) and the anti-money laundering standards under Section 4(a)(5). Equally critical is judicial fidelity to the mandatory redemption framework. Without interagency coordination and vigilant oversight, GENIUS risks perpetuating the very uncertainties it seeks to dispel, inviting either under-deterrence of insolvency or over-deterrence of innovation. Policymakers must therefore view the Act not as a terminus but as a framework demanding iterative refinement, informed by empirical monitoring of redemption reliability and market liquidity.

In an era where stablecoins underpin trillions in cross-border payments and decentralized finance, GENIUS offers a pragmatic path forward: stability without stagnation. If faithfully implemented, it could transform stablecoins from a regulatory afterthought into a resilient pillar of the U.S. financial system. The coming years will reveal whether this congressional wager pays off, or whether further amendments will be needed to secure the digital dollar's future.

---

[169] *See* Financial Stability Board, *High-Level Recommendations of the Regulation, Supervision and Oversight of Global Stablecoin Arrangements* (July 2023) (promoting cross-border cooperation and information sharing).

[170] IOSCO, a global securities regulator body, sets standards for crypto markets to protect investors. It has issued principles for regulating crypto trading platforms akin to traditional exchanges.